

Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR DEPARTMENT CM05
HON. Judge Ebrahim Baytieh

Date: 9/16/2026

Court Room Rules and Notices

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#	Case Name	Tentative
1	<u>Lady - Trust</u> 30-2020-01154499	MOTION FOR FEES Petitioners Elizabeth Ward and Patricia Lady's Motion for Reasonable Attorneys' Fees and Costs (ROA 11010 is GRANTED in the amount of of \$481,303.50 (\$457,444.83 for fees charged by David A. Sherak and Jeany A. Duff plus \$23,858.67 for fees charged by various legal assistants/paralegals). Costs are awarded to Petitioners in the amount of \$36,443.30. The amount awarded represents the reasonable fees "incurred by Petitioners in connection with [Respondent's] opposition to their objections when such opposition lacked reasonable cause <i>and</i> was done in bad faith as it relates to Petitioners' <i>sustained objections</i> to the accountings" plus the costs of the proceeding. (ROA 1112 at 128:7-10.) <u>Calculation of attorney fees.</u> Calculation of attorneys' fees is committed to the discretion of the trial court. (<i>PLCM Group v. Drexler</i> (2000) 22 Cal.App.4th 1084, 1095–1096.) "[T]he fee setting inquiry in California ordinarily begins with the 'lodestar,' i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate. 'California courts have consistently held that a computation of time spent on a case and the reasonable value of that time is fundamental to a determination of an appropriate attorneys' fee award.' [Citation.] The reasonable hourly rate is that prevailing in the community for similar work. [Citations.] The lodestar figure may then be adjusted, based on consideration of factors specific to the case, in order to fix the fee at the fair market value for the legal services provided." (<i>Id.</i>, at p. 1095.) The court is not automatically bound by the evidence and argument provided by the party seeking the fees. Under California law, "[t]he court has a duty, independent of any objection, to assure that the amount and mode of payment of attorney fees are fair and proper, and may not simply act as a rubberstamp for the

parties' agreement." (*In re Consumer Privacy Cases* (2009) 175 Cal.App.4th 545, 555.) It is further well-settled that the "courts repeatedly have stated that the trial court is in the best position to value the services rendered by the attorneys in his or her courtroom, and this includes the determination of the hourly rate that will be used in the lodestar calculus. In making its calculation, the court may rely on its own knowledge and familiarity with the legal market, as well as the experience, skill, and reputation of the attorney requesting fees, the difficulty or complexity of the litigation to which that skill was applied, and affidavits from other attorneys regarding prevailing fees in the community and rate determinations in other cases." (*569 East County Boulevard LLC v. Backcountry Against the Dump, Inc.* (2016) 6 Cal.App.5th 426.)

In evaluating "whether the attorney fee request is reasonable, the trial court should consider whether the case was overstaffed, how much time the attorneys spent on particular claims, and whether the hours were reasonably expended. Reasonable compensation does not include compensation for padding in the form of inefficient or duplicative efforts. ... A reduced award might be fully justified by a general observation that an attorney overlitigated a case or submitted a padded bill or that the opposing party has stated valid objections." (*Morris v. Hyundai Motor America* (2019) 41 Cal.App.5th 24, 38. Internal citations and quotation marks omitted.) Further, a "fee request that appears unreasonably inflated is a special circumstance permitting the trial court to reduce the award or deny one altogether. (*Chavez v. City of Los Angeles* (2010) 47 Cal.4th 970, 990.)

The court's award of fees. The court's revised Final Statement of Decision awards fees to Petitioners as follows:

The general rule is that trust "beneficiaries must ordinarily pay their own attorney fees in challenging the trustee's conduct, even when they are successful. Section 17211, subdivision (b), however, provides the following exception to the rule: If a beneficiary *contests the trustee's account* and the court determines that the trustee's opposition to the contest was *without reasonable cause and in bad faith*, the court may award the contestant the costs of the contestant and other expenses and costs of litigation, including attorney's fees, incurred to contest the account. The amount awarded shall be a charge against the compensation or other interest of the trustee in the

trust. The trustee shall be personally liable and on the bond, if any, for any amount that remains unsatisfied.” (*Leader v. Cords* (2010) 182 Cal. App. 4th 1588, 1595–1596. Internal citation, quotation marks, footnotes, and emphasis omitted, (*Leader*).)

The Legislature enacted section 17211(b) in 1996 as a “a remedial statute: it is intended to protect beneficiaries who contest trustees’ accounts or liability for attorney fees incurred as a result of trustees’ unreasonable and bad faith oppositions. ... The Estate Planning, Trust and Probate Law Section of the California State Bar proposed the legislation to harmonize with section 11003, subdivisions (a) and (b), which provide for attorney fees awards in the context of litigation over trustees’ accounts in probate estate administrations.” (*Leader v. Cords, supra*, 182 Cal. App. 4th at pp. 1597 1598.)

To recover fees under Section 17211(b), Petitioners must show both a lack of reasonable cause *and* bad faith in Kevin’s decision to oppose Petitioners’ objections to their accountings. “[R]easonable cause to oppose a contest of an account, within the meaning of section 17211, subdivision (b), means an objectively reasonable belief, based on the facts then known to the trustee, either that the claims are legally or factually unfounded or that the petitioner is not entitled to the requested remedies.” (*Uzvel v. Kadisha, supra*, 188 Cal. App. 4th at p. 878.) Furthermore, bad “faith involves a subjective determination of the contesting party’s state of mind - specifically, whether he or she acted with an improper purpose.” (*Powell v. Tagami* (2018) 26 Cal. App. 5th 219, 234.) In a 2002 case, the Court of Appeal indicated that bad faith “means simply that the action or tactic is being pursued for an improper motive,” and a “subjective state of mind will rarely be susceptible of direct proof; usually the trial court will be required to infer it from circumstantial evidence.” (*Gemini Aluminum*

Corp. v. California Custom Shapes, Inc. (2002) 95 Cal. App. 4th 1249, 1263.)

As to Kevin's position that Section 17211 (b) is not applicable in this case because, according to Kevin, this case is not a contest of the trustee's account, rather, it is a case about beneficiaries seeking to remove a trustee and/or seeking to force the trustee to sell a trust property, the court does not find this position by Kevin to be factually supported or legally persuasive. Factually, the court finds based on the totality of all the evidence introduced during the trial that this case is, in significant part, regarding Kevin's accounting: after Petitioners initiated this litigation, the court ordered Kevin to submit multiple accountings relating to the Lady Trust, the Patricia Trust, and the Elizabeth Trust. Kevin filed these accountings, **along with his own petitions asking the court to approve his accountings** and confirm the validity and appropriateness of all his actions as detailed in the accountings. Patricia and Elizabeth filed objections to Kevin's multiple accountings/petitions, and a significant part of the trial was consumed by evidence relating to these accountings.

Legally, a similar argument to that of Kevin was made by the trustee in the *Leader* case, and the Court of Appeal soundly rejected such argument: "The beneficiaries successfully petitioned the probate court for an order compelling the trustee to distribute the remaining assets. The sole question on appeal is whether the court erred by finding section 17211, subdivision (b) is inapplicable as a matter of law because the proceeding does not constitute a contest of the trustee's account. We answer the question in the affirmative." (*Leader v. Cords, supra*, 182 Cal. App. 4th at p. 1591.)

In *Leader*, the trial court denied the beneficiaries' request for attorney's fees under Section 17211 (b) by concluding as a matter of law that "this is not an action on an accounting," rather an action "based upon the theory of breach of trust." (*Id.* at pp. 1594-1595.) The Court of Appeal rejected this

conclusion by the trial court and observed that since Section 17211 (b) is a remedial statute, it “must be liberally construed to effectuate its object and purpose, and to suppress the mischief at which it is directed. Construing section 17211, subdivision (b) liberally, we conclude the phrase “contest of the trustee's account” includes Rachel and Adam's petition for distribution.” (*Leader v. Cords, supra*, 182 Cal. App. 4th 1588, 1598, internal citations and quotation marks omitted.)

Accordingly, in this case the court finds that the phrase “contest of the trustee's account” as used in Section 17211 (b), includes Elizabeth and Patricia’s petition, especially when considering that the court had ordered Kevin to file multiple accountings that were objected to and litigated during this trial, in part as a result of **Kevin’s own petitions** to approve his accountings.

Based on the totality of all the evidence introduced during the trial, and guided by the applicable legal principles, the court does not find Kevin’s position about the inapplicability of Section 17211 (b) to be persuasive. Furthermore, the court finds based on the totality of all testimonial and documentary evidence introduced during the trial, including the court’s firsthand ability to observe and assess the testimony of all witnesses (except Michael), that the Petitioners proved by preponderance of the evidence that Kevin’s opposition to the **vast majority** of their contest of his (Kevin’s) accountings was (1) without reasonable cause, and (2) in bad faith. In reaching this conclusion, the court considered all the factual findings as detailed in this Statement of Decision. Accordingly, the court determines that Petitioners are entitled to recover **part of** their costs of contesting Kevin’s accountings, and other expenses and costs of litigation, including attorneys’ fees, incurred to contest the accounts.

The court uses the terms *vast majority* and *part of* in the above stated findings because as it is made clear elsewhere in this Statement of Decision, not every single entry and every single expense listed

in Kevin’s accountings is going to be denied by the court. However, the law does not require that the beneficiaries prove that the trustee lacked reasonable cause *and* acted in bad faith in connection with his opposition to 100% of their objections to his accounting before they can recover under Probate Code section 17211 (b). Concluding as such will fly in the face of the principle that Probate Code section 17211 (b) is a remedial statute, and such a remedial statute “must be liberally construed to effectuate its object and purpose, and to suppress the mischief at which it is directed.” (*Tintocalis v. Tintocalis* (1993) 20 Cal. App. 4th 1590, 1592; *Leader v. Cords, supra*, 182 Cal. App. 4th at p. 1598.)

Accordingly, the court is going to award attorneys’ fees and costs under Probate Code section 17211 (b) only as it relates to such fees and costs incurred by Petitioners in connection with Kevin’s opposition to their objections when such opposition lacked reasonable cause *and* was done in bad faith as it relates to Petitioners’ *sustained objections* to the accountings.

(ROA 1112 at 125-128, emphasis in the original.)

The motion for fees. Although Petitioners were specifically denied fees on their Petition for Instructions (ROA 125), their motion for fees sought fees incurred in connection with that petition. Further, although Petitioners were not awarded fees on their original petition (ROA 2), their motion sought fees incurred in connection with that petition—fees that were not attributable to Kevin’s bad faith opposition to their objections to his accountings because they were incurred before the objections were filed. Because the motion requested fees that had not been awarded, the court gave Petitioners an opportunity to provide supplemental briefing properly apportioning the requested fees.

Petitioners responded by asserting that because the judgment did not deny them fees incurred in connection with their original petition, they understood they were entitled to all fees incurred in connection with their original petition as well as fees incurred in connection with Kevin’s bad faith opposition to their objections to his accounting. (ROA 1190 at 2:16-18 [“Petitioners understood the Judgment’s award of attorneys’ fees pursuant to Probate Code

section 17211(b) to include the accounting objections as set forth in the Petition for Orders, as well as Petitioners' formal objections to Respondent's court-ordered accountings"].) This argument appears to overlook the court's specific ruling that fees were awarded "only" as incurred "in connection with Kevin's opposition to their objections when such opposition lacked reasonable cause and was done in bad faith as it relates to Petitioners' *sustained objections* to the accountings."

Petitioners' supplemental filing acknowledges the court may have intended to limit the award of fees to "Petitioners' formal objections to Respondent's court-ordered accounting" and therefore reduces the requested attorney fees from \$710,501.75 to \$686,167.25 and paralegal/legal assistant fees from \$37,712 to \$35,788 by removing "certain items inadvertently not excluded previously, related to Respondent's motion for summary judgment." (ROA 1190 at 2:19-22.) A review of attached billings reflects Petitioners also removed fees incurred during the nearly eighteen months before their objections were filed, and certain other categories.

Based on the totality of the court's observation and assessment of the performance and presentation of evidence by Petitioners' attorneys, and a review of the quality of their pleadings and advocacy both oral and in writing, the court finds that the hourly rates they charged for their attorney work as well as paralegal/legal assistants' work is reasonable and justified based on similar work by attorneys and paralegals of similar experiences, in the Orange County legal community, dealing with cases involving comparable level of complexity.

Based on the totality of all the evidence introduced during the trial and the record before the court, the court finds that there is a substantial factual overlap between the sustained objections and the other issues involved in the proceeding. However, there are also multiple issues and filings that could, and should, have been separated out including (as examples only) fees incurred in connection with the Petition for Instructions (e.g. pp. 43-45 of ROA 1192), fees incurred in opposing Kevin's motions to compel further responses to discovery (e.g. pp. 9 & 10 of ROA 1192), fees incurred in connection with Kevin's request that opposing counsel be found in contempt for making false representations to the court (e.g., pp. 7 & 9 of ROA 1192), fees incurred in concern about Kevin speaking with Petitioners' mother's doctors (e.g. p. 38 of ROA 1192).

[illegible]